

AC241 – Uses of Accounting Information II

Chapter 3 – Job Costing

Key Terms

1. **Bill of Materials** - A comprehensive list of raw materials, components and assemblies required to build or manufacture a product.
2. **Billing Rate** – The labor rate charged to a customer which includes both cost and profit components.
3. **Cost Driver** - A factor that can cause a change in the cost of an activity.
4. **Cost-Plus Pricing** – A costing approach where the price of a product is set at the cost of production plus a certain profit margin.
5. **Job Cost Record** – A written or electronic document that shows the cost of direct material, direct labor and manufacturing overhead assigned to a particular product or batch of products.
6. **Job Costing** – A system used for assigning costs to products or services that differ in the amount of materials, labor and overhead required. Typically used by manufacturers that produce unique or custom-ordered products in small batches.
7. **Labor Time Record** – A written or electronic record of the time a particular direct laborer spends on each job.
8. **Materials Requisition** - A detailed source document that specifies the type and quantity of materials that are to be drawn from the storeroom and identifies the job to which the costs of materials are to be charged.
9. **Overallocated Manufacturing Overhead** – The amount of overhead applied to jobs exceeds the actual manufacturing overhead costs incurred; results in jobs being overcosted.
10. **Predetermined Manufacturing Overhead Rate** - The rate used to apply manufacturing overhead to individual jobs; calculated before the period begins; calculated by dividing estimated total manufacturing overhead costs by the estimated total amount of cost driver or activity base. Common activity bases used in the calculation include direct labor costs, direct labor hours, or machine hours.
11. **Process Costing** – The process of allocating costs to products by averaging costs over large numbers of identical products that pass through a series of uniform production steps.
12. **Production Schedule** – An electronic or written document that identifies the types and quantities of products that will be produced in a particular period.
13. **Purchase Order** - A purchase order is a document sent to a supplier or vendor, authorizing shipment of a product to the customer at a specified price and terms. The creation of a purchase order creates a legally binding contract which cannot be changed without the consent of both parties.
14. **Raw Materials Record** – A written or electronic document listing the type, quantity and cost of all raw materials units received, used in production and currently in stock. A separate record is maintained for each type of raw material kept in stock.
15. **Receiving Report** – A written or electronic document used to report the type and quantity of items received in an incoming shipment. A “blind” receiving report does not pre-list the type or quantities of items expected in a particular shipment. This is done to force the receiving department to identify, count and document everything received (instead of simply checking-off items/quantities that appear on a form without performing an actual item count).

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16. **Stock inventory** – Items normally kept on-hand to allow a company to quickly fulfill customer orders.
17. **Subsidiary Ledger** - A subsidiary ledger is a group of similar accounts whose combined balances equal the balance in a specific general ledger account. The general ledger account that summarizes a subsidiary ledger's account balances is called a control account or master account. For example, an accounts payable subsidiary ledger (vendors' subsidiary ledger) includes a separate account for each vender from which the company makes credit purchases. The combined balance of every account in this subsidiary ledger equals the balance of accounts payable in the general ledger.
18. **Underallocated Manufacturing Overhead** – The amount of manufacturing overhead applied to jobs is less than the amount of manufacturing overhead actually incurred; results in jobs being undercosted.